

FULL QUALIFYING CASE PACK

LAMBO 2026: Pagtubo sa Negosyo

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Case Title:	PopCart PH, Scaling the Viral Sensation
Submission Deadline:	June 22, 2026, 11:59 PM Philippine Time
Semifinal Presentation:	June 24, 2026, virtual
Team Size:	3 to 4 students
Required Submission:	Presentation deck, PDF

This is the Qualifying Case. You use it for your June 22 submission and, if you reach the Top 10, your June 24 virtual semifinal. The June 27 finals use a separate Finals Case given only to the Top 5. For the full structure, timeline, prizes, and conduct rules, see your LAMBO 2026 Welcome Pack.

Important Note for Students

This is a business decision case, not a coding competition. You are not required to build an app, train a machine learning model, write code, or prepare a complex financial model. You do not need to have taken any AI subject to compete, and the training sessions will teach you the tools. You are expected to think like a practical consulting team helping a real business owner make a smart decision.

You may use simple math, clear assumptions, public research, interviews, observations, and your own judgment. The best solutions will be clear, practical, affordable, data-supported, and realistic for a Filipino MSME. What separates a strong team from an average one is not a fancier tool. It is sharper reasoning, numbers that hold together, and AI used with judgment and disclosed honestly.

Case Background

PopCart PH is a fast-growing Filipino online retail business that sells snacks, candies, imported treats, chocolate products, ramen bundles, novelty sweets, and viral food items. It started as a small online storefront and grew rapidly over two years through TikTok Shop, social media videos, livestream selling, and e-commerce platforms. Its products go viral because they are affordable, fun, visually appealing, and easy to share online.

Best-selling items include freeze-dried candy mixes, spicy Korean ramen bundles, giant bubble gum tubs, assorted chocolate crunch bars, and sour belts or bulk candy packs.

PopCart PH ships nationwide, with customers in Metro Manila, Cebu, Davao, and other provinces. Revenue is strong, but operations are under pressure. The company runs everything from one overcrowded 800-square-meter warehouse in Quezon City, which receives supplier deliveries, stores inventory, processes orders, packs products, and coordinates shipments across the country.

That setup worked when the business was smaller. Now demand has outgrown it. PopCart PH earns PHP 120 million in annual revenue, but a large share of that income is consumed by logistics costs, platform fees, digital marketing, and warehouse expenses, and the company depends almost entirely on a single sales channel.

The Business Problem

PopCart PH is growing fast, but growth is getting harder to manage. The founders are worried about five problems.

Problem 1: Shipping to Visayas and Mindanao is expensive

The company receives many orders from Central Visayas and Davao, but shipping from Quezon City to these regions is costly. To stay competitive on TikTok Shop, PopCart PH absorbs part of the shipping cost, which protects sales but reduces profit. Metro Manila orders cost about PHP 65 to ship, while Central Visayas orders cost about PHP 155 and Davao orders about PHP 185.

Problem 2: Delivery times are too long

Metro Manila customers receive orders in 1 to 2 days. Central Visayas waits 5 to 7 days, and Davao waits 7 to 10 days. For viral products, speed matters. A customer who sees a trending snack wants it while the trend is still hot, and slow delivery loses both the sale and the repeat customer.

Problem 3: Products are getting damaged in transit

Chocolates and similar items are sensitive to heat and long transit times. Central Visayas has a 4.2 percent return or damage rate and Davao 5.0 percent, against just 1.5 percent in Metro Manila. Damage means refunds, complaints, wasted inventory, and reputational risk.

Problem 4: Stockouts are common

PopCart PH struggles to predict which products will go viral, and it often runs out of trending items before it can restock. Freeze-dried candy mix sells around 300 units per day but is out of stock for an average of 11 days per month. Assorted chocolate crunch bars sell around 160 units per day but are out for 7 days per month. Every stockout day on a fast mover is lost profit the company never recovers.

Problem 5: The business depends on a single channel

About 90 percent of sales come from TikTok Shop. If the platform raises fees, changes its algorithm, tightens its rules, or simply stops surfacing the products, revenue can fall sharply. PopCart PH has almost no presence on its own website, in physical retail, or on other marketplaces, so it has little to fall back on.

The Core Question

PopCart PH wants to grow, but the founders are unsure what to do next. Your team must answer this main question: **What is the smartest 12-month growth strategy for PopCart PH?**

- **Option A, Open a Cebu fulfillment hub:** Store and ship selected products from Cebu to serve Visayas customers faster and cheaper.
- **Option B, Open Cebu and Davao fulfillment hubs:** Build a stronger regional logistics network for Visayas and Mindanao.
- **Option C, Launch mall kiosks:** Sell viral snacks in high-traffic malls to capture walk-in buyers and reduce dependence on TikTok Shop.
- **Option D, Stay online-only but fix operations:** Hold off on physical locations and instead fix inventory, forecasting, order tracking, and automation.
- **Option E, Use a hybrid approach:** Combine regional fulfillment, kiosks, and operational fixes, but in a clear sequence led by one primary move.

Important: Make one primary recommendation. You may include supporting actions, but your final answer must not be "do everything at once." A hub, a kiosk network, and an operations overhaul each cost real money, and the founders cannot fund all of them in year one.

How to start: Study the four exhibits. Choose the biggest problem. Compare at least three options on benefit, cost, and risk. Recommend one strategy. Support it with simple math, a payback estimate, and a 12-month plan.

Your Role

You are a consulting team of emerging student strategists. PopCart PH has asked you to recommend how it should grow over the next 12 months. Your solution should help the company reduce shipping costs, improve delivery speed, reduce damage and returns, avoid stockouts of viral products, improve warehouse and inventory operations, reduce its dependence on a single channel, use simple and practical AI or automation, and protect

profitability while it scales. You will not be able to fix all of these at once. Part of your job is to choose what to fix first.

What You Need to Submit

Your submission is a single slide deck, presented as a PDF, maximum 15 slides excluding the cover and the appendix. There is no separate executive summary.

Your deck must show, on its own, where and how AI shaped your thinking. Use the appendix for an AI-use disclosure that names every AI tool you used and shows where each one was applied. AI use is expected and encouraged. Hiding it, or passing off unverified output as fact, counts against you.

Minimum expected analysis: one clear recommendation, at least three data points from the exhibits, a comparison of at least three options, one financial estimate weighing benefit against cost, one honest payback estimate, one 12-month roadmap, and key risks with mitigations.

Suggested deck flow, a guide and not a rule. The cover and the appendix do not count toward your 15 content slides.

Slide Topic	Suggested Content
Slide 1	Executive summary of your recommendation
Slide 2	Main problem diagnosis
Slide 3	Key insights from the case data
Slide 4	Customer and market opportunity
Slide 5	Option comparison on benefit, cost, and risk
Slide 6	Your recommended strategy
Slide 7	Location or channel recommendation
Slide 8	Supply chain and inventory solution
Slide 9	Your AI and automation solution, with the workflow
Slide 10-11	Financial logic, payback, and ROI
Slide 12	12-month implementation roadmap
Slide 13	Risks and mitigation plan
Slide 14	Expected impact
Slide 15	Closing pitch

Appendix, not counted: AI-use disclosure naming every tool and where it was used, plus any supporting calculations, references, or assumptions.

File naming: SchoolName_TeamName_LAMBO2026.pdf

Submit through [the official submission link] by June 22, 11:59 PM. Late submissions are not accepted.

Required Questions to Answer

Question 1: What is the main problem PopCart PH should solve first? You may choose high shipping costs, long delivery time, stockouts, damaged products, manual operations, overdependence on TikTok Shop, weak demand forecasting, limited geographic presence, or a combination. You must justify why it comes first.

Question 2: Where, or whether, should PopCart PH expand? You may recommend Cebu, Davao, both, mall kiosks, no physical expansion yet, or a phased strategy. Explain why, and be honest about the cost of the option you choose.

Question 3: What simple technology, AI, or automation should PopCart PH use? Examples include an inventory dashboard, order tracking, a sales trend tracker, Google Sheets or Excel automation, a Power BI or Looker Studio dashboard, TikTok trend monitoring, basic demand forecasting, automated reorder alerts, low-code inventory software, barcode scanning, warehouse task tools, chatbots, or supplier reorder templates. Explain the workflow, not just the tool.

Question 4: How will your recommendation reduce costs, delays, stockouts, or damage? Use the exhibits and your assumptions to show the expected operational impact.

Question 5: Is your recommendation financially worth it? Use simple financial logic. Estimate the yearly benefit and the yearly cost, then show a payback period. If the payback runs beyond 12 months, say so honestly. A slower payback is not automatically wrong, but you must show that you understand it. The strongest answers compare the benefit of an option against its full cost, not just its upside.

Data Provided to Students

Exhibit A: Simplified Financial Snapshot, FY2025

Line Item	Amount	% of Revenue
Gross Revenue	PHP 120,000,000	100.0%
Cost of Goods Sold	(PHP 60,000,000)	50.0%
Gross Profit	PHP 60,000,000	50.0%
Platform Fees and Digital Marketing	(PHP 12,000,000)	10.0%
Logistics and Customer Shipping Subsidies	(PHP 24,000,000)	20.0%
Warehouse OpEx	(PHP 10,000,000)	8.3%
Admin and General Expenses	(PHP 3,200,000)	2.7%
Net Profit Before Tax	PHP 10,800,000	9.0%

Interpretation guide: The company is profitable, but its margin is thin at 9.0 percent. The blended gross margin is 50 percent, which you can use to value lost or recovered sales. Logistics and shipping subsidies are 20 percent of revenue, the single largest controllable cost. Any strategy that reduces shipping cost, recovers lost sales, or reduces returns can move profit, but each strategy also carries a cost, and a thin-margin business cannot afford a fix that costs more than it saves.

Exhibit B: Geographic and Logistics Metrics (Trailing 6-month order data)

Region	% of Total Volume	Average Shipping Cost Per Order	Average Delivery Time	Return/ Damage Rate
Metro Manila and NCR	42%	PHP 65	1 to 2 days	1.5%
Central Visayas including Cebu	26%	PHP 155	5 to 7 days	4.2%
Davao Region	17%	PHP 185	7 to 10 days	5.0%
Rest of Philippines	15%	PHP 140	4 to 8 days	3.1%

Interpretation guide: Central Visayas and Davao together make up 43 percent of order volume and carry the highest shipping costs, longest delivery times, and highest damage rates. That makes regional fulfillment worth studying. Weigh it carefully, though, because a hub carries a large fixed monthly cost

regardless of how many orders flow through it, so the savings only matter if the volume is there to cover that cost.

Exhibit C: Inventory and Product Velocity Snapshot

Product Category	Units Per Day	Average Price	Out of Stock (Days/ Month)	Lead Time
Freeze-Dried Candy Mix	300 units	PHP 180	11 days	14-day
Spicy Korean Ramen Bundles	240 units	PHP 320	5 days	30-day
Giant Bubble Gum Tubs	180 units	PHP 220	2 days	7-day
Assorted Chocolate Crunch Bars	160 units	PHP 150	7 days	21-day
Sour Belts and Bulk Packs	120 units	PHP 120	0 days	7-day

Interpretation guide: Stockouts are lost profit, and now you can measure them. For example, freeze-dried candy sells 300 units a day and is out of stock 11 days a month, which is about 3,300 units a month, or roughly 39,600 units a year. At PHP 180 each with a 50 percent gross margin, that is close to PHP 3.6 million in lost gross profit a year from one product, if a better system recovers most of those sales. Do the same for the other fast movers before you decide where the biggest money actually is.

Exhibit D: Current Operations and Technology Setup

The company runs from one 800-square-meter warehouse in Quezon City with a team of 48: 1 Warehouse Manager, 2 Admin Staff, and 45 Packers.

Function	Current Process
Sales and Orders	90 percent of volume comes from TikTok Shop, viewed inside TikTok Seller Center.
Inventory Management	Admin staff manually export order data to a master Excel file twice a day, at 8:00 AM and 5:00 PM.
Warehouse Coordination	The warehouse manager uses a Viber group chat for shift schedules and packing priorities.
Supplier Ordering	Founders order on gut feel, visual shelf checks, and supplier discounts.

Interpretation guide: Because inventory updates only twice a day, overselling and stockouts happen often, and supplier ordering is reactive rather than planned. This setup is cheap to fix relative to building physical locations, which is worth keeping in mind when you compare options on cost.

Additional Assumptions for Financial Analysis

To keep the case fair for all students, PopCart PH provides these planning assumptions. You may use them or create your own, as long as you explain your logic.

A. Order Volume & B. Regional Order Estimate

Estimated average order value is PHP 650. Total estimated annual orders are 185,000.

- Metro Manila and NCR: 42 percent, 77,700 orders.
- Central Visayas: 26 percent, 48,100 orders.
- Davao Region: 17 percent, 31,450 orders.
- Rest of Philippines: 15 percent, 27,750 orders.

C. Expansion Cost Assumptions

Expansion Option	Setup Cost	Monthly Operating Cost
Cebu micro-fulfillment hub	PHP 2.5M to 4.0M	PHP 600,000 to 900,000
Davao micro-fulfillment hub	PHP 2.0M to 3.5M	PHP 500,000 to 800,000
Mall kiosk	PHP 800,000 to 1.5M	PHP 250,000 to 450,000
Basic order or inventory system	PHP 500,000 to 1.5M	PHP 50,000 to 150,000
Barcode scanning or workflow tools	PHP 300,000 to 800,000	PHP 20,000 to 80,000

D. Shipping and Operational Savings Assumptions

- **Regional hub shipping savings:** shipping for hub-served orders may fall 25 to 45 percent, for example Central Visayas down to PHP 90 to 115 and Davao down to PHP 110 to 140.
- **Damage reduction:** return or damage rates may fall 20 to 40 percent in served regions.
- **Stockout reduction:** stockout days may fall 25 to 60 percent for fast movers once a proper inventory and reorder system is in place.

E. Delivery Speed and Regional Growth Assumption

Serving a region from a local hub can cut delivery from 5 to 7 days down to 2 to 4 days. Faster delivery and better in-stock rates may lift that region's order volume by 15 to 30 percent over 12 months, as customers buy more often and abandon fewer carts. This is the main way a hub can pay for its high fixed cost. If your recommendation relies on this growth, state the assumption clearly and show the volume math. If you do not believe the growth will happen, say so, because then the hub is much harder to justify.

F. Kiosk Revenue Assumption

- **Small kiosk:** monthly revenue PHP 300,000 to 500,000, gross margin 40 to 50 percent.
- **High-traffic mall kiosk:** monthly revenue PHP 600,000 to 1,000,000, gross margin 40 to 50 percent.

Suggested Analysis Framework

A simple five-step method:

1. **Diagnose:** Where is the company losing the most money? Use Exhibit A to find the big costs, Exhibit C to value stockouts, and Exhibit B to size the regional problem.
2. **Compare options:** Weigh Cebu hub, Davao hub, kiosks, and operations-first on benefit, cost, and risk. Always put the yearly benefit next to the yearly cost.
3. **Choose:** Make one clear primary recommendation.
4. **Propose the operating model:** Match each problem to a practical tool or change.
5. **Show the money:** Use simple math to compare benefit against cost, and state a payback period.

Two worked examples, so you can see both of the main levers:

Shipping saving from a hub: Central Visayas has 48,100 orders a year. If shipping falls from PHP 155 to PHP 105, that is PHP 50 saved per order, or PHP 2,405,000 a year. Now compare that against the hub's operating cost of PHP 600,000 to 900,000 a month, which is PHP 7.2M to 10.8M a year. The shipping saving alone does not cover the hub, so you will need the growth in Assumption E, or another benefit, to make it work.

Stockout recovery from a system: Freeze-dried candy loses about 39,600 units a year to stockouts. At PHP 180 and a 50 percent margin, recovering most of that is close to PHP 3.6M in gross profit a year, against an inventory system costing roughly PHP 600,000 to 1.8M a year. That is a very different cost-to-benefit shape from the hub.

Neither example tells you the answer. They show you how to find it.

Suggested Output Format for the Recommendation

A. Strategic Recommendation: State clearly what PopCart PH should do.

B. Why It Makes Sense: Use the case data.

C. How It Will Work: Describe the operations.

D. Financial Logic: Show benefit, cost, and payback.

E. Roadmap: Break it into phases across 12 months.

Possible Strategy Directions

These are genuine alternatives, not a ranking. The right one depends on the data you trust and the risk you are willing to take.

- **Direction 1, Fix Operations First:** Lowest cost and lowest risk. Attacks stockouts and overselling, which are pure lost profit, for a fraction of the cost of physical expansion. Pairs well with a 3-month automation sprint, an inventory dashboard, and reorder points. The trade-off is that it does nothing for shipping cost or delivery speed.
- **Direction 2, Cebu-First Regional Fulfillment:** Cuts shipping cost and delivery time for the Visayas, and can reduce damage. The trade-off is a high fixed monthly cost, so it only pays off if the region grows, per Assumption E, or if you route enough volume through it. Pairs well with inventory automation and a limited SKU rollout.
- **Direction 3, Cebu and Davao Expansion:** The most aggressive logistics play and the highest risk, because you carry two fixed costs at once. Best only with a phased rollout, a strong inventory system in place first, and possibly a third-party logistics partner instead of owned hubs.
- **Direction 4, Mall Kiosk Strategy:** The only option that directly reduces dependence on TikTok Shop. Adds a new revenue stream and brand presence, but adds rent and staffing risk. Best tested as a 3-month pop-up before any permanent lease.
- **Direction 5, Hybrid Phased Strategy:** Combine moves, but lead with one and sequence the rest so the company never funds everything at once. You must name the lead move and justify the order.

Practical AI and Automation Ideas

- **A. Demand Forecasting Dashboard:** Inputs are daily sales, supplier lead time, and TikTok engagement. Outputs are reorder alerts and a fast-mover list.

- **B. Viral Trend Monitoring:** Signals are TikTok views, search interest, and add-to-cart activity. Output is a watchlist of likely viral products.
- **C. Inventory Automation:** Replace twice-daily manual Excel exports with Google Sheets and forms, Excel with Power Query, Airtable, or barcode scanning.
- **D. Warehouse Task Board:** Replace Viber-only coordination with Trello, Notion, Microsoft Planner, or Airtable.
- **E. Customer Service Automation:** An FAQ chatbot, auto-reply templates, and an order status tracker.

Risk Management

Risk	Mitigation
Hub has low utilization: Fixed cost outruns savings.	Start with Cebu only and top SKUs, and check the volume math before committing.
Inventory split creates stockouts: Wrong stock in the wrong place.	Use a demand dashboard and weekly replenishment.
Kiosk sales disappoint: Rent and staff become a burden.	Run a 3-month pop-up, not a permanent lease.
Technology is too complex: Staff will not use it.	Choose simple tools and train users.
Supplier lead times are long: Restocking still lags.	Pre-order viral items and diversify suppliers.
Single-channel dependence: A TikTok change can hit revenue overnight.	Build a second channel, whether kiosks, a webstore, or another marketplace.

12-Month Roadmap Template

This is the implementation timeline. It is separate from financial payback, which may run longer for a hub.

Month	Phase	Description
Month 1	Data cleanup	Consolidate sales, inventory, SKU, and supplier data. Output, clean baseline dataset.
Month 2	System design	Build the dashboard and reorder rules. Output, prototype inventory dashboard.
Month 3	Pilot automation	Test daily inventory updates and reorder alerts. Output, reduced overselling.
Month 4	Expansion planning	Select a location or 3PL partner and choose SKUs. Output, launch plan.
Month 5	Setup	Prepare inventory, staffing, and courier partners. Output, ready to launch.
Month 6	Soft launch	Serve selected orders. Output, faster delivery pilot.
Month 7	Performance review	Measure shipping savings, delivery time, returns, and recovered sales. Output, pilot report.
Month 8	Optimization	Adjust SKU mix and reorder levels. Output, improved performance.
Month 9	Channel test	Optional pop-up or second-channel pilot. Output, omnichannel learning.
Months 10 to 12	Scale playbook	Document SOPs, run a final review, and plan Year 2. Output, expansion recommendation.

Sample Key Performance Indicators

- **Reduce logistics cost:** Average shipping cost per order to Central Visayas. Baseline PHP 155. Target PHP 90 to 115.
- **Improve delivery speed:** Delivery time to Central Visayas. Baseline 5 to 7 days. Target 2 to 4 days.
- **Reduce damage:** Return or damage rate in Central Visayas. Baseline 4.2 percent. Target 2.5 to 3.3 percent.

- **Reduce stockouts:** Stockout days for viral candy. Baseline 11 days per month. Target 4 to 7 days per month.
- **Improve operations:** Inventory update frequency. Baseline twice daily. Target real-time or every 2 hours.
- **Reduce channel risk:** Share of sales from TikTok Shop. Baseline 90 percent. Target below 75 percent.
- **Improve profitability:** Net profit margin. Baseline 9.0 percent. Target 10 to 13 percent.

What Students Are Allowed to Use

Case exhibits, publicly available data, interviews or informal customer observations, Google Trends, TikTok trend observations, public logistics benchmarks, mall and city information, government statistics, news articles, AI tools for brainstorming, research, writing, and slide design, and tools such as Excel, Google Sheets, Canva, PowerPoint, Notion, Airtable, Power BI, or Looker Studio. State your important assumptions clearly, and disclose every AI tool you used.

What Students Are Not Required to Do

Build an AI model, build a working app, code a system, produce audited projections, contact real companies, use paid software, provide exact warehouse rental quotes, or solve every problem perfectly.

Judging Criteria and How Scoring Works

The same rubric is used in the semifinals and the finals. Each of the five criteria is rated from 1 to 5, then multiplied by a fixed weight so the criteria add up to 100.

- **Problem framing and business understanding**, rating times 4, maximum 20.
- **AI solution design and feasibility**, rating times 5, maximum 25.
- **Strategic and commercial impact**, rating times 5, maximum 25.
- **Executive presentation and storytelling**, rating times 4, maximum 20.
- **Q and A handling**, rating times 2, maximum 10. *This applies in the live rounds. At the written eliminations there is no Q&A, so your deck is scored on the first four criteria.*

Detailed Rubric, What Earns a High Score

Problem framing and business understanding (Max 20)

- **Excellent (5):** Pinpoints the real core problem using the exhibits and shows a clear grasp of how PopCart makes and loses money.
- **Adequate (3):** Reasonable framing, but partly generic or not fully grounded in the data.
- **Weak (1):** Misreads the business, or picks a surface problem with little use of the exhibits.

AI solution design and feasibility (Max 25)

- **Excellent (5):** Matches practical AI, automation, or digital tools to specific problems, with an affordable, believable workflow a real MSME could run, and shows clearly where AI was used in your own work.
- **Adequate (3):** Names sensible tools, but the workflow is thin or hard to run at this scale.
- **Weak (1):** Buzzwords with no workflow, or an AI idea disconnected from the business.

Strategic and commercial impact (Max 25)

- **Excellent (5):** One clear recommendation, benefit weighed against full cost, payback shown, numbers reconcile, and the strategy would plausibly move profit.
- **Adequate (3):** Defensible recommendation, but incomplete economics, for example upside without full cost, or no payback.
- **Weak (1):** No clear choice or "do everything," or financials that do not hold together.

Executive presentation and storytelling (Max 20)

- **Excellent (5):** A clear, professional, well-structured story a busy owner could act on, with strong visuals and a tight narrative.

- **Adequate (3):** Understandable but uneven, cluttered, or buries the recommendation.
- **Weak (1):** Hard to follow, or disorganized.

Q and A handling (Max 10, live rounds only)

- **Excellent (5):** Answers directly, defends the numbers under pressure, and stays composed.
- **Adequate (3):** Handles most questions but wobbles on the financials or specifics.
- **Weak (1):** Cannot defend the work, or deflects.

A note on what wins: there is no single correct option in this case. Fixing operations first and opening a Cebu hub can both score full marks. What separates teams is the quality and honesty of the reasoning and the financial argument, plus how well AI is woven into the solution, not the option chosen. Recommending everything at once will cost you marks.

How This Case Is Used

- **Initial submission, due June 22, 11:59 PM.** Open to all registered teams, built on this Qualifying Case. Submit the deck PDF through [the official submission link], named SchoolName_TeamName_LAMBO2026.pdf. Eliminations select the Top 10.
- **Semifinals, June 24, virtual.** The Top 10 present this same case in a 7-minute pitch followed by a 5-minute Q&A, judged by AIM faculty together with EXL. The Top 5 advance and receive a separate Finals Case.
- **Finals, June 27, on the LAMBO main stage.** The Top 5 present the new Finals Case, not this one.

Case Ethics and Confidentiality

This is a fictionalized teaching case prepared for educational purposes. PopCart PH is a fictional company. Any resemblance to actual businesses is coincidental. Students should not represent themselves as official consultants of any real business when conducting research.